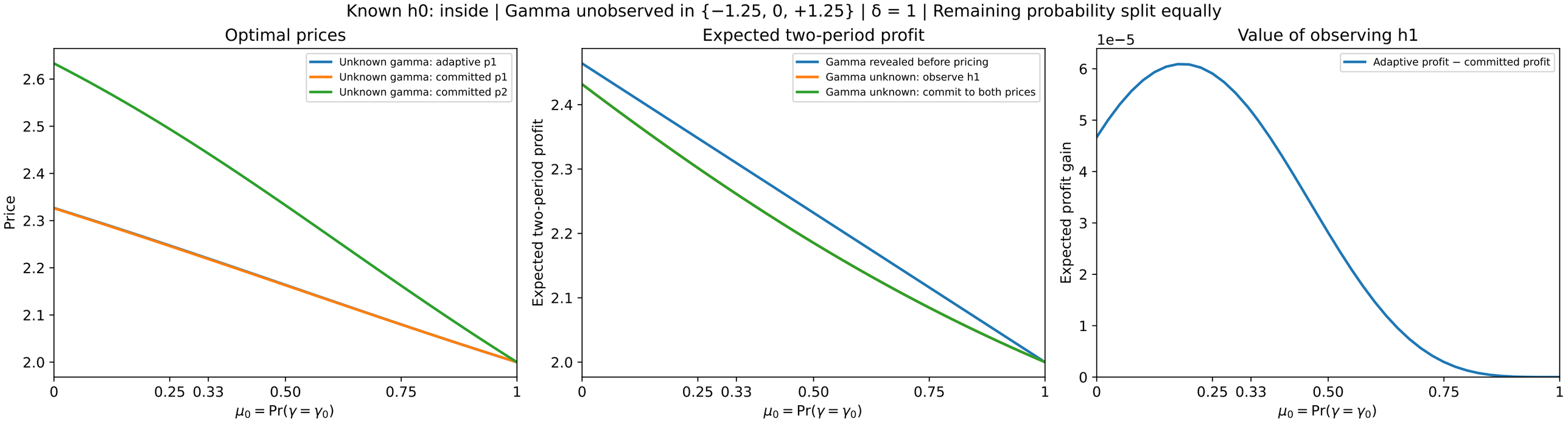
Known h0: inside | Gamma unobserved in {−1.25, 0, +1.25} | δ = 1 | Remaining probability split equally
Optimal prices
Price
Unknown gamma: adaptive p1
Unknown gamma: committed p1
Unknown gamma: committed p2
$\mu_0 = \Pr(\gamma = \gamma_0)$
Expected two-period profit
Expected two-period profit
Gamma revealed before pricing
Gamma unknown: observe h1
Gamma unknown: commit to both prices
$\mu_0 = \Pr(\gamma = \gamma_0)$
Value of observing h1
1e−5
Expected profit gain
Adaptive profit − committed profit
$\mu_0 = \Pr(\gamma = \gamma_0)$